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17. The following is the trial balance of Babu as on 31st December, 2016.

Particulars	Debit `	Credit `
Stock (01-01-2016)	8,000	
Goodwill	13,600	
Investments	7,500	
Capital		16,650
Purchases and Sales	24,750	40,500
Returns	750	1,000
Discount	1,100	650
Bad debts	400	
Debtors and Creditors	10,000	9,100
Provision for bad debts		600
Bank overdraft		1,250
Printing and stationery	650	
Wages	1,250	
Salaries	1,750	
	69,750	69,750

Prepare trading and profit and loss account for the year ended 31st December, 2016 and a balance sheet as on that date after the following adjustments.

(a) Salaries outstanding ` 500
(b) Interest on investments receivable at10%.
(c) Provision required for bad debts is 5%.
(d) Closing stock is valued at ` 9,900.

(**Answer**: Gross profit: ` 16,650; Net profit ` 13,750, Balance sheet total ` 41,250)

18. From the following trial balance of Ramesh as on 31st March, 2017, prepare the trading and profit and loss account and the balance sheet as on that date.

Particulars	Debit `	Credit `
Stock (01.04.2016)	40,000	
Purchases	85,000	
Sales		1,90,000
Sundry creditors		48,000
Furniture and fixtures	65,000	
Debtors	45,000	
Cash at bank	21,000	
Wages	37,500	
Drawings	15,000	
Telephone charges	3,000	
Bad debts	2,000	
Provision for bad debts		2,500
Discount received		3,000
Capital		85,000
Advertising	15,000	
	3,28,500	3,28,500